ECONOMICS (030)

Reconstructed Question Paper — 2025

Reconstructed from the submitted answer booklet. Numerical values visible in the working have been retained where they are clear.

Section A — Multiple Choice Questions

Q.1–Q.10 Answer the multiple-choice/assertion–reason questions based on the prescribed macroeconomics and Indian economic development syllabus. Identifiable topics include:

1. purchase and sale of securities on behalf of general public,
2. tax revenue,
3. revenue receipts,
4. reserve money,
5. equilibrium income,
6. Reserve Bank of India,
7. government budget,
8. balance of payments.

Section B — Macroeconomics

Q.11 Distinguish between direct taxes and indirect taxes. Give suitable examples and explain how the burden of each tax is treated.

Q.12 Distinguish between real GDP and nominal GDP. Define each and explain why real GDP is a better indicator of changes in output over time.

Q.13 Explain the relationship between the cash reserve ratio (CRR), money multiplier and the credit-creation capacity of commercial banks. Illustrate with a numerical example.

Q.14 Explain how the government can control inflation through fiscal policy. Discuss measures such as reducing government expenditure and increasing taxes.

Q.15 Given the marginal propensity to consume and an increase in autonomous investment, calculate the investment multiplier and the resulting change in income.

Q.16 Define open market operations. Explain how the central bank uses the purchase and sale of government securities to regulate money supply and credit.

Q.17 Calculate NDP at factor cost from the given national-income aggregates using:

$$\text{NDP}_{FC} = \text{GDP}_{MP} - \text{depreciation} - \text{net indirect taxes}$$

where the relevant aggregates are supplied in the question.

Q.18 Distinguish between factor income and transfer income, giving suitable examples.

Section C — Balance of Payments and National Income

Q.19 Explain the current account and capital/financial account of the balance of payments. Distinguish between transactions recorded in the two accounts.

Q.20 Explain the components of the current account, including exports/imports of goods and services, income and transfers.

The original data tables and some case-study questions are not sufficiently visible in the answer booklet.